

Hiring a Tax Accountant or Service

Approximately half of Americans use a tax-preparation service of some type. Three-quarters of a million of them pay a tax preparer to complete the very simple Form 1040EZ. Many others use a preparer for the 1040 form. While it pays to use expert help if you have a complex tax situation, you can save yourself \$100 to \$200 or more by preparing your own return if you use the short form. Having a very complex return done professionally could cost \$1,000 or more. The more organized your records are and the more information you can give the preparer about your personal situation, the less it will cost.

There are times when it's almost certainly a good idea to seek professional tax assistance—for instance, if you exercised incentive stock options, had complex investments, have a home-based business, own rental property, or had a major life transition such as marriage, divorce, a baby, or started your own business. The qualifications of tax preparers vary immensely, and you'll pay more if you choose someone who is overqualified to handle the complexity level of your return. Certified public accountants, tax attorneys, and enrolled agents (certified by the Treasury Department) are the only professionals who can represent you in an audit if that ever becomes necessary, but you can also use other trained preparers suited to your needs.



You can search for tax professionals near you by visiting the National Association of Tax Professionals website at www.taxprofessionals.com and using the search feature. The site provides members' names, addresses, telephone numbers, and e-mail addresses.
